

Alphabet (GOOGL US)

Buy: Q2 – GC performance leaves AI narrative unchanged

- ◆ Google Cloud continues to outperform with a broadly inline Services division supporting near-term OCF
- ◆ A further 5% capex hike and earnings call commentary may not assuage market concerns around hyperscaler capex
- ◆ USD420 TP and Buy rating unchanged, c23% implied upside

Key takeaways from Q2 results: 1) The AI narrative remains strong and unchanged, supported by once again ahead of expectations Google Cloud (GC) revenues and margins; 2) the Services division remains healthy, supporting the investments required in the near-term; but 3) the earnings call will have done little to assuage market concerns around funding for potential capex hikes. 2026 capex guidance was raised to USD195-205bn (USD180-190bn previously). Please see full results commentary inside.

Google Cloud – AI narrative intact: GC saw an overall +26.4% beat at the operating level versus Visible Alpha consensus, supported by continued margin expansion. On the risks around clients switching to cheaper models, management pointed to strong demand and GC's offering of a range of price effective models (including models released on July 22). Order backlog grew to USD514bn, with demand noted to be strong and diversified across products, particularly Gemini Enterprise and Agent Development Kit, customers and geographies. New customer acquisition velocity has doubled vs last year. Gemini 3.5 Pro, which is in testing, and Gemini 4.0 are in the pipeline.

Google Services: This has remained a solid performer and continues to fund the build-out of the GC. Gemini models are improving ads quality, advertiser tools, and AI user experiences, from which Google is driving improvements in showing relevant ads (+20%), reducing costs for marketers and increasing conversion rates (+15%). Regarding the durability of the +17% Search growth, Gemini integration was highlighted as a key driver.

Funding concerns remain: The above demonstrates Alphabet's ability to enact a holistic AI strategy. Funding for capex at GC needs to come from OCF (the primary driver of investment) driven by Google Services, debt and equity issuance thereafter. The lack of meaningful margin beat at Services, a 5% capex guidance hike, and FCF noted to remain "under pressure" will do little to calm market concerns around hyperscaler capex funding. While management are not planning to go back to equity markets 'at this point', they did not rule out further capital raises on a multi-year view to support potential capex hikes.

Retain Buy, USD420 TP unchanged. We update our model for this release, noting that the large increase in EPS estimates comes on the back of the paper gains in equity securities. We increase our 2028e capex expectation by 25% to USD313bn, noting broad uncertainties. Overall, we increase our EBIT expectations by 2/9/13% for FY26/27/28e driven by higher GC revenues and margins. However, in order to better reflect additional capital funding risks, we cut our EV/EBIT target multiple for the Google Cloud division by 20% to 28.0x, meaning that our rounded TP remains unchanged.

Equities
IT Services

United States



MAINTAIN BUY

TARGET PRICE (USD)

420.00

PREVIOUS TARGET (USD)

420.00

SHARE PRICE (USD)

342.09

(as of 22 Jul 2026)

UPSIDE/DOWNSIDE

+22.8%

MARKET DATA

Market cap (USDm)	4,093,703	Free float	87%
Market cap (USDm)	4,093,703	BBG	GOOGL US
3m ADTV (USDm)	11,674	RIC	GOOGLN

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	10.81	20.61	14.98	18.16
HSBC EPS (prev)	10.81	14.24	14.09	16.40
Change (%)	0.0	44.7	6.3	10.7
Consensus EPS	10.62	14.23	14.68	17.32
PE (x)	31.7	16.6	22.8	18.8
Dividend yield (%)	0.2	0.3	0.3	0.3
EV/EBITDA (x)	26.3	18.0	13.6	10.7
ROE (%)	35.7	42.3	20.5	19.7

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

Paul Rossington*

Senior Global Tech Platforms Analyst

HSBC Bank plc
paul.rossington@hsbcib.com
+44 20 7991 6734

Charlie Rothbarth*

Global Tech Platforms Analyst

HSBC Bank plc
charlie.rothbarth@hsbc.com
+44 203 2685284

Nicolas Cote-Colisson*

MD, Head of Global Tech Platforms

HSBC Continental Europe
nicolas.cote-colisson@hsbcib.com
+44 20 7991 6826

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Bank plc

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Financials & valuation: Alphabet

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	402,836	495,919	614,488	736,759
EBITDA	150,175	211,778	280,480	356,884
Depreciation & amortisation	-21,136	-32,934	-54,629	-85,837
Operating profit/EBIT	129,039	178,844	225,851	271,046
Net interest	3,601	1,603	468	-558
PBT	158,826	316,146	226,204	270,373
HSBC PBT	158,826	316,146	226,204	270,373
Taxation	-26,656	-60,532	-43,311	-51,768
Net profit	132,170	255,614	182,893	218,605
HSBC net profit	132,170	255,614	182,893	218,605
Cash flow summary (USDm)				
Cash flow from operations	164,713	157,842	256,851	333,513
Capex	-91,447	-205,000	-250,000	-312,500
Cash flow from investment	-120,291	-240,224	-250,000	-312,500
Dividends	-10,050	-10,674	-11,182	-11,560
Change in net debt	4,478	-75,930	17,471	5,069
FCF equity	73,266	-47,158	6,851	21,013
Balance sheet summary (USDm)				
Intangible fixed assets	33,380	57,828	57,828	57,828
Tangible fixed assets	261,818	435,358	630,729	857,392
Current assets	206,038	360,127	362,921	374,816
Cash & others	126,843	254,391	236,919	229,190
Total assets	595,281	1,065,038	1,263,203	1,501,760
Operating liabilities	123,938	140,531	142,062	145,119
Gross debt	46,547	98,165	98,165	95,505
Net debt	-80,296	-156,226	-138,754	-133,685
Shareholders' funds	415,265	792,217	988,851	1,227,011
Invested capital	250,455	458,391	672,497	915,727

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	15.1	23.1	23.9	19.9
EBITDA	17.6	41.0	32.4	27.2
Operating profit	14.8	38.6	26.3	20.0
PBT	32.6	99.1	-28.4	19.5
HSBC EPS	34.4	90.7	-27.3	21.2
Ratios (%)				
Revenue/IC (x)	1.9	1.4	1.1	0.9
ROIC	50.0	40.8	32.3	27.6
ROE	35.7	42.3	20.5	19.7
ROA	25.4	31.1	16.0	16.0
EBITDA margin	37.3	42.7	45.6	48.4
Operating profit margin	32.0	36.1	36.8	36.8
EBITDA/net interest (x)				639.7
Net debt/equity	-19.3	-19.7	-14.0	-10.9
Net debt/EBITDA (x)	-0.5	-0.7	-0.5	-0.4
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	10.81	20.61	14.98	18.16
HSBC EPS (diluted)	10.81	20.61	14.98	18.16
DPS	0.84	0.88	0.92	0.97
Book value	34.27	64.69	82.01	103.19

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue - Google services	342,721	383,352	425,164	457,742
Revenue - Google Cloud	58,705	111,170	187,915	277,669
Revenue - Other Bets	1,537	1,471	1,408	1,348
Operating Income - Google services	139,404	170,086	191,696	207,622
Operating Income - Google Cloud	13,910	39,032	66,872	98,812
Operating Income - Other Bets	-7,515	-7,093	-7,219	-7,340

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	9.8	7.7	6.2	5.2
EV/EBITDA	26.3	18.0	13.6	10.7
EV/IC	15.8	8.3	5.7	4.2
PE*	31.7	16.6	22.8	18.8
PB	10.0	5.3	4.2	3.3
FCF yield (%)	1.8	-1.2	0.2	0.5
Dividend yield (%)	0.2	0.3	0.3	0.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	8.9	No. of board members	10
Energy intensity*	n/a	Average board tenure (years)	16.0
CO ₂ reduction policy	Yes	Female board members (%)	10
Social Indicators		Board members independence (%)	70
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

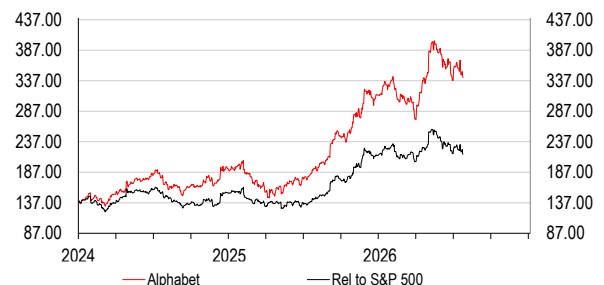
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	342.09	Free float	87%
Target price (USD)	420.00	Sector	IT Services
RIC (Equity)	GOOGL.N	Country/Region	United States
Bloomberg (Equity)	GOOGL US	Analyst	Paul Rossington
Market cap (USDm)	4,093,703	Contact	+44 20 7991 6734

Price relative



Source: HSBC

Note: Priced at close of 22 Jul 2026

Q2 results

Q2 results: Total revenues were +24.2% YoY (+23% at constant currency) to USD119.8bn vs Visible Alpha (VA) consensus at USD117.2bn, i.e. a 2.2% beat. Total EBIT was +30.4% YoY to USD40.8bn vs consensus at USD40.9bn, i.e. broadly in line.

Google Cloud: Revenues were USD24.8bn, +81.8% YoY, and vs consensus of USD22.5bn, i.e. a 10% beat. Cloud EBIT was +212% YoY to USD8.8bn, and versus consensus of USD7.0bn, i.e. a 26.4% beat. EBIT margins were +1484bps YoY to 35.6%. This is vs consensus of 31.0%, i.e. a 460bps beat, and better than Q1. This is despite the fact that the Q2 EBIT number includes a low-single-digit margin headwind from the Wiz acquisition.

Q2 trading compares to Q1 revenue growth of +63.4% YoY and EBIT margin of 32.9%, +282bps YoY, thus confirming a meaningful acceleration in top line growth (expected), and further substantial improvement in GC EBIT margins that we incorporate into our revised FY26–28e.

The GC order backlog stood at USD514bn vs USD460bn at the end of Q1, a QoQ increase of 11.7%, with demand noted to be strong and diversified across products, particularly Gemini Enterprise and the Agent Development Kit, customers and geographies, and new customer acquisition velocity has doubled vs last year.

From an operational perspective, Gemini Enterprise is now used by nearly 90% of Fortune 100 companies as part of integrated end-to-end solutions that include cybersecurity and/or data analytics, which Google is able to leverage through its full stack approach, including infrastructure, compute and in-house silicon. This is allowing more businesses to transform how they use AI to build customer agents, automate workflows, improve cybersecurity, manage customer relationships and streamline data analytics.

Google Services: Revenues were +14.5% to USD94.5bn, vs consensus of USD94.3bn, i.e. broadly in line. EBIT was USD39.5bn, +19.6% YoY, and versus consensus of USD40.4bn, i.e. broadly in line. This equates to an EBIT margin of 41.8% in Q2, vs 45.3% in Q1, which was an all-time high. We assume the decrease in Q2 EBIT margins is due to lower levels of search within the Services revenue mix at 66.9% (vs 67.4% in Q1). At a divisional level:

- ◆ **Google Search & Other** delivered +16.7% YoY revenue growth. This was driven by the benefits derived from the accelerated deployment of Gemini, including improvements in:
1) Ads quality, i.e. improved query understanding leading to more relevant ads, particularly for longer searches. This includes a 20% improvement in highly relevant ads in shopping.
2) Advertiser tools, where Pmax has become a core building block for advertisers to participate in new AI experiences, now adopted by >0.5m advertisers, with case studies delivering a high-teens (+17%) percentage improvement in conversion volume / a low-teens percentage reduction in cost per lead (-11%). 3) AI user experience: AI Overviews and AI Mode expanded to cover more commercial, specific and detailed queries, providing opportunities for more relevant Ads and 'Direct' offers from brand partners.
- ◆ **YouTube Ads** revenues grew by +12.9% YoY. YouTube was a FIFA platform partner, with over 1.7bn unique viewers watching World Cup-related videos, facilitating the launch of customised brand sponsorship campaigns, in addition to continued engagement with large and SMB brand partners targeting a combination of Gen Z, high-value shoppers and a higher return on ad spend compared with other channels to market. Shorts continue to deliver high-performing opportunities.
- ◆ **Google Network** revenues were broadly flat YoY, and **Subscriptions, platforms and devices** revenues grew by 15.2% YoY, within which the Gemini app now has 950m active users, with daily active users increasing threefold vs last year.

Other: Alphabet Level Activities EBIT was a negative USD5.8bn, which is higher than expected by c.USD0.9bn. Other Bets EBIT was negative USD1.8bn, broadly in line. Higher than expected losses at Alphabet Level Activities, and slightly lower EBIT at Google Services, offset the beat at GC.

Total operating expenses: Increased by 27% YoY to USD33.1bn, driven by a 32% increase in R&D expenses, primarily a function of higher compensation for AI talent, and higher depreciation charges up 42% YoY.

Diluted EPS: USD9.11 vs consensus of USD2.90, driven by gains on equity holdings of USD99bn, which we assume is primarily attributable to SpaceX. Adjusting for gains on equity holdings, we arrive at diluted EPS of USD2.85, i.e. 1.9% below consensus.

We continue to point to EBIT as a better measure of underlying trading performance.

FY26 Capex guidance: Q2 capex was USD44.9bn vs consensus at USD44.2bn. For FY26, management, has increased capex guidance again to USD195–205bn. This is up from previous FY guidance of USD180–190bn provided at the Q1 update in late April, and the USD175–185bn provided at the FY25 results in early February. The most recent increase in capex guidance implies a cumulative increase of 11.1% year to date, against the backdrop of what remains a supply-constrained environment.

Alphabet Q2 results

Results table	Actual	yoy growth	VA cons	diff versus cons
Google Search & other	63.3	16.8%	63.3	-0.1%
YouTube ads	11.1	12.9%	10.8	2.4%
Google Network	7.4	0.0%	7.1	3.0%
Google Advertising Total	81.6	14.4%	81.3	0.5%
Google subscriptions, platforms, and devices	12.9	15.2%	13.0	-1.0%
Google Services total	94.5	14.5%	94.3	0.3%
Google Cloud	24.8	81.8%	22.5	10.0%
Other Bets	0.4	2.4%	0.4	-4.1%
Total	119.8	24.2%	117.2	2.2%
Total costs and expenses	79.0	21.3%	76.3	3.6%
Total EBIT	40.8	30.4%	40.9	-0.2%
Group EBIT margin	34.0%		34.9%	82bps
EBIT - Services	39.5	19.6%	40.4	-2.2%
EBIT - Cloud solutions	8.8	211.9%	7.0	26.3%
EBIT - Other Bets	(1.8)	44.4%	(1.6)	10.4%
EBIT - Alphabet level activities	(5.8)	71.7%	(4.9)	17.4%
Non-operating income/(expense)	98.0	nm	1.6	na
Net income/(loss)	112.2	nm	35.6	215.2%
EPS - Diluted	9.11	nm	2.90	213.7%
Adj EPS - Diluted	2.85	nm	2.90	-1.9%
Dividend per share	0.22	nm	0.22	0.0%
Free cash flow	(5.9)	nm	1.4	nm
Capex	44.9	nm	44.7	0.5%

Source: Company reports, Visible Alpha

Changes in HSBC estimates (all GAAP)

USDbn	New estimates			Old estimates			% Changes		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Total revenue	495.9	614.5	736.8	490.4	595.7	691.7	1.1%	3.2%	6.5%
Google Services	383.4	425.2	457.7	391.6	419.9	451.4	-2.1%	1.2%	1.4%
Google Cloud	111.2	187.9	277.7	97.7	174.4	239.2	13.8%	7.7%	16.1%
Total EBIT	178.8	225.9	271.0	175.1	208.2	240.3	2.1%	8.5%	12.8%
Google Services	170.1	191.7	207.6	175.9	189.1	204.6	-3.3%	1.4%	1.5%
Google Cloud	39.0	66.9	98.8	29.8	52.2	71.6	30.8%	28.0%	38.0%
PBT	217.1	226.2	270.4	215.4	209.7	240.6	0.8%	7.8%	12.4%
Income Tax	60.5	43.3	51.8	38.0	37.0	42.5	59.2%	17.0%	21.9%
Net Income	255.6	182.9	218.6	177.4	172.7	198.2	44.1%	5.9%	10.3%
Diluted EPS	20.61	14.98	18.16	14.24	14.09	16.40	44.7%	6.3%	10.7%
DPS	0.88	0.92	0.97	0.88	0.92	0.97	0.0%	0.0%	0.0%
Capex	205.0	250.0	312.5	190.0	250.0	250.0	7.9%	0.0%	25.0%
FCF	-47.2	6.9	21.0	-23.3	-5.8	59.7	102.1%	-218.4%	-64.8%

Source: HSBC estimates

Valuation and risks
Valuation
Alphabet
GOOGL US
Buy

Current price: **USD342.09**

Target price: **USD420.00**

Up/downside: **+22.8%**

We use an SOTP analysis to reach our unchanged target price of USD420, based on unchanged peer group multiples.

Our TP implies 22.8% upside. We retain our Buy rating as we see scope for further margin expansion alongside our positive view across both Search, Cloud and YouTube. We see Alphabet as being well placed to deal with market shocks.

Our full valuation can be found overleaf.

Risks to our view
Downside risks

- ◆ Google Search losing meaningful query market share
- ◆ Google Cloud failing to win further contracts and reaching a lower market share than expected
- ◆ Price war within cloud server providers market impacting margins
- ◆ Adverse FX scenarios
- ◆ Chasing growth, including expensive M&A
- ◆ Limited valuation support.

 Priced at 22 July 2026
 Source: HSBC estimates

HSBC Alphabet SOTP valuation

	Revenues		EBIT		EV FY26	% EV	EV/Revs		EV/EBIT		EV/Revs multiple	EV/EBIT multiple	Rationale
	FY26	FY27	FY26	FY27			FY26	FY27	FY26	FY27			
Search	254.9	284.3	153.1	170.8	2,992	64.0%	11.7x	10.5x	19.5x	17.5x		19.0x	In-line with the internet peer group seeing similar EBIT growth
YouTube Ads	45.7	51.5	7.8	9.3	220	4.7%	4.8x	4.3x	28.3x	23.6x		27.0x	Meta EV/EBIT at the HSBC TP
YouTube Subs	29.0	32.9	1.9	2.6	225	4.8%	7.8x	6.8x	120.6x	86.1x	7.5x		Unchanged
YouTube	74.7	84.4	9.6	11.9	445	9.5%	6.0x	5.3x	46.2x	37.3x			Sum of the above
Network	29.1	28.3	4.4	4.3	35	0.7%	1.2x	1.2x	8.0x	8.2x		8.0x	Mature online business seeing negative growth
Other	24.7	28.1	4.5	4.8	50	1.1%	2.0x	1.8x	11.2x	10.5x		11.0x	Mature online business seeing stable revenues
Services - Total	383.4	425.2	171.5	191.7	3,521	75.4%	9.2x	8.3x	20.5x	18.4x			
Google Cloud	111.2	187.9	39.0	66.9	1,288	27.6%	11.6x	6.9x	33.0x	19.3x		20.8x	Discount to Oracle multiple implied by HSBC TP, 20% cut from 35.0x previously to better reflect capex overrun risks.
Other Bets	1.5	1.4	(7.1)	(7.2)	100	2.1%	68.0x	71.0x	-14.1x	-13.9x			Increased assumption for Waymo on the back of recent higher funding round
Alphabet-level activities			(23.2)	(25.5)	(237.6)	-5.1%						10.0x	Raised from 8.0x to better reflect AI development costs.
Total	496.0	614.5	180.3	225.9	4,672	100.0%	9.4x	7.6x	25.9x	20.7x			
Tax benefit					10%								
Total EV					5,139		10.4x	8.4x	28.5x	22.8x			
Net debt (2025 adjusted for Wiz acquisition)					48.3								
Other					82								
Equity value					5,269								
# shares outstanding (bn)					12.7								
Target price (USD, rounded)					420.00								
Implied upside					22.8%								

Priced at 07 July 2026

Companies mentioned in our Alphabet SOTP

Company	Ticker	Closing price (USD)	Rating	Target price (USD)
Oracle	ORCL US	125.84	Buy	316.00
Meta	META US	627.07	Buy	905.00

Source: HSBC, LSEG Workspace
Priced at 22 July 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Paul Rossington, Charlie Rothbarth and Nicolas Cote-Colisson

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

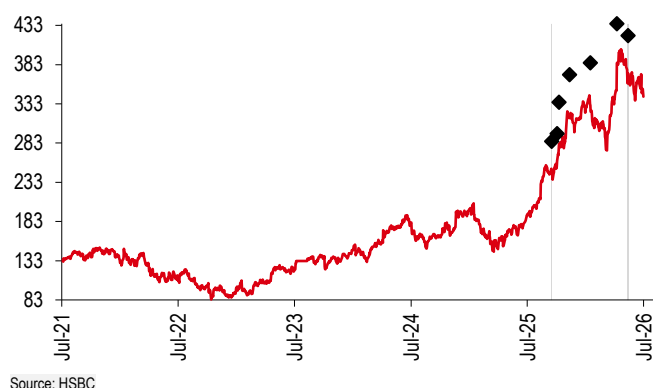
Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

Alphabet (GOOGL.N) share price performance USD Vs HSBC rating history



Rating & target price history

From	To	Date	Analyst
N/A	Buy	07 Oct 2025	Paul Rossington
Buy	Restricted	02 Jun 2026	
Restricted	Buy	04 Jun 2026	Paul Rossington
Target price	Value	Date	Analyst
Price 1	285.00	07 Oct 2025	Paul Rossington
Price 2	295.00	24 Oct 2025	Paul Rossington
Price 3	335.00	30 Oct 2025	Paul Rossington
Price 4	370.00	02 Dec 2025	Paul Rossington
Price 5	385.00	05 Feb 2026	Paul Rossington
Price 6	435.00	30 Apr 2026	Paul Rossington
Price 7	Restricted	02 Jun 2026	
Price 8	420.00	04 Jun 2026	Paul Rossington

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ALPHABET	GOOGL.N	342.09	22 Jul 2026	1, 2, 5, 6, 7

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- As of 30 June 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.

- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 17 July 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 17 July 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

- 1 This report is dated as at 23 July 2026.
- 2 All market data included in this report are dated as at close 22 July 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.
- 5 As of 16 July 2026 HSBC owned a significant interest in the debt securities of the following company(ies): ALPHABET

Production & distribution disclosures

1. This report was produced and signed off by the author on 23 Jul 2026 00:57 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/HhfmFCX>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

HSBC Bank plc
 8 Canada Square
 London, E14 5HQ, United Kingdom
 Telephone: +44 20 7991 8888
 Fax: +44 20 7992 4880
 Website: www.research.hsbc.com

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority. If this research is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. The opinions contained within the report are based upon publicly available information at the time of publication and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. Past performance is not necessarily a guide to future performance. The value of any investment or income may go down as well as up and you may not get back the full amount invested. Where an investment is denominated in a currency other than the local currency of the recipient of the research report, changes in the exchange rates may have an adverse effect on the value, price or income of that investment. In case of investments for which there is no recognised market it may be difficult for investors to sell their investments or to obtain reliable information about its value or the extent of the risk to which it is exposed. HSBC Bank plc is registered in England No 14259, is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited makes no representations that the products or services mentioned in this document are available to persons in Hong Kong or are necessarily suitable for any particular person or appropriate in accordance with local law. All inquiries by such recipients must be directed to The Hongkong and Shanghai Banking Corporation Limited. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All U.S. persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

© Copyright 2026, HSBC Bank plc, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of HSBC Bank plc.

[1283323]